



Income Tax Department

Ministry of Finance, Government of India

⁷¹[Taxation of income from retirement benefit account maintained in a notified country.

21AAA. (1) Where a specified person has income accrued in a specified account or accounts, during a previous year relevant to any assessment year beginning on or after the 1st day of April, 2022, such income shall, at the option of the specified person, be included in his total income of the previous year relevant to the assessment year in which income from the said specified account or accounts is taxed at the time of withdrawal or redemption, as the case may be, in the notified country.

(2) Where the option has been exercised by a specified person under sub-rule (1), the total income of the specified person for the previous year in which income is taxable under sub-rule (1) shall not include the income which,—

- (a) has already been included in the total income of such specified person in any of the earlier previous years during which such income accrued and tax thereon has been paid in accordance with the provisions of the Act; or
- (b) was not taxable in India, in the previous year during which such income accrued, on account of,—
 - (i) such specified person being a non-resident, or not ordinarily resident referred to in clause (6) of section 6, during that previous year; or
 - (ii) application of the Double Taxation Avoidance Agreement, if any,

and the foreign tax paid on such income, if any, shall be ignored for the purposes of computation of the foreign tax credit under rule 128.

(3) The option under sub-rule (1) shall be exercised by the specified person in respect of all the specified accounts maintained by the specified person.

(4) In a case where the specified person becomes a non-resident during any relevant previous year, then—

- (i) the option exercised under sub-rule (1) shall be deemed to have never been exercised with effect from the relevant previous year; and
- (ii) the income which has accrued in the specified account or accounts during the period, beginning with the previous year in respect of which the option under sub-rule (1) was exercised and ending with the previous year immediately preceding the relevant previous year, shall be taxable during the previous year immediately preceding the relevant previous year and tax shall be paid on or before the due date for furnishing the return of income for the relevant previous year.

(5) The option to be exercised under sub-rule (1) by the specified person, for any previous year relevant to the assessment year beginning on or after the 1st day of April, 2022, shall be in Form No. 10EE and it shall be furnished electronically under digital signature or electronic verification code on or before the due date specified under sub-section (1) of section 139 of the Act, for furnishing the return of income.

(6) Subject to the provisions of sub-rule (4), the option once exercised for a specified account or accounts in respect of a previous year under sub-rule (1) in Form No. 10EE shall apply to all subsequent previous years and cannot be subsequently withdrawn for the previous year for which the option was exercised or any previous year subsequent to that previous year.

(7) The Principal Director General of Income-tax (Systems) or Director General of Income-tax (Systems), as the case may be, shall specify the procedures, formats and standards for ensuring secure capture and transmission of data and shall be responsible for evolving and implementing appropriate security, archival and retrieval policies in respect of Form No. 10EE.

Explanation.—For the purposes of this rule,—

- (i) "due date" shall have the meaning assigned to it in *Explanation 2* to sub-section (1) of section 139 of the Act;
- (ii) "notified country", "specified account" and "specified person" shall have the meaning assigned to them in the *Explanation* to section 89A of the Act;
- (iii) "relevant previous year" shall mean the previous year during which the specified person becomes non-resident subsequent to the previous year in respect of which option under sub-rule (1) has been exercised.

71. Inserted by the IT (Sixth Amdt.) Rules, 2022, w.e.f. 4-4-2022.